



STRATHMORE UNIVERSITY BUSINESS SCHOOL

MASTER OF BUSINESS ADMINISTRATION

END OF SEMESTER EXAMINATIONS

MBA 8101: FINANCIAL AND MANAGERIAL ACCOUNTING

Date: Thursday, 16th August 2018

Time: 3 Hours

Instructions

1. This examination consists of **FOUR** questions.
2. Answer Question **ONE** and ANY OTHER **TWO** Questions

Question 1(Compulsory) (50 Marks)

Use the case provided to answer this question.

- a) Describe the main business of the company **(4 Marks)**
- b) Highlight the Key items of incomes, expenses, assets, liabilities and capital. Compare the 2016 figures to 2017 and provide possible reasons for their change. **(20 Marks)**

Hint: You can summarize your answer using the following table:

Item	2016 Sh.b	2017 Sh.b	Change sh.b	Possible reason(s)

- c) Assume that the company is preparing the budget for year 2018. The following information is important for the purpose of preparing the operating budget:
 1. Gross earned premium revenue is expected to increase by 8%. Outward reinsurance is expected to grow in the same proportion.
 2. Investment income will grow at 6%, there will be a gain in fair value through profit or loss of sh.200 million, commission income and fee income will increase by 8%.

3. Claims and policy holders benefit expense will increase by 20% and 20% will be recovered from the reinsurer.

4. Operating and other expenses will increase by 5%, while commission expense is expected to increase by 8%. Share of results of associates is expected to increase by sh.200 million and the tax expense to increase by sh.300 million.

Required:

Prepare a budgeted profit or loss statement for the year ended 31 December 2018 based on the above assumptions and estimates. Round off your figures to the nearest million and show up to the profit for the year. Comment on whether the performance for 2018 is better than that of 2017. **(16 Marks)**

- d) Conduct a performance evaluation of the company using the balanced scorecard as far as the information permits, focusing specifically on the performance for year 2017

(10 Marks)

Use the following heading:

Aspect	Goals	Measures
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Question 2 (25 Marks)

- a) Managers and other users need financial statements to make important decisions. For this reason, the accounting profession is regulated to ensure financial statements are of high quality and that users can rely upon them. Explain TWO Key qualities and THREE *enhancing* qualities of useful financial statements **(5 Marks)**
- b) The management of Petals Limited is concerned about the declining performance of the business over the past three years. The financial statements of the company are summarized as follows:

Statement of profit or loss for the year

	2017 Shm	2016 Shm	2015 Shm
Sales	15,926	17,802	15,874
Cost of sales	(13,630)	(14,905)	(13,126)
Gross Profit	2,296	2,897	2,747
Other incomes	466	325	184
Operating costs	(4,021)	(3,558)	(2,765)
Finance cost	(49)	(156)	(6)
Profit/Loss before tax	(1,309)	(492)	160
Income tax expense	(89)	99	(61)
Net profit/Loss	(1,398)	(393)	99

Statement of financial position as at 31 December

	2017	2016	2015
Non Current assets	sh.m	sh.m	sh.m
Property, Plant & Equip.	2,963	2,741	2,293
Prepaid operating lease	323	550	420
Intangible assets	421	433	39
	3,707	3,724	2,752
Current assets			
Inventories	1,882	2,528	1,708
Trade & Other receivables	735	358	292
Tax Recoverable	62	62	112
Cash at bank & in hand	145	201	216
	2,823	3,149	2,328
Total Assets	6,530	6,874	5,080
Equity			
Share capital	600	600	600
Share Premium	259	259	259
Revaluation Reserves	357	204	211
Retained earnings	(164)	341	795
Total equity	1,052	1,404	1,865
Current liabilities			
Trade & Other payables	4,053	3,610	2,542
Borrowings	1,424	1,860	673
	5,478	5,470	3,215
Total Equity & Liabilities	6,530	6,874	5,080

Required:

- a) Compute the following ratios for the three years-

(16 Marks)

- (i) Current ratio
- (ii) Acid test ratio
- (iii) Return on Investment
- (iv) Net Profit Margin
- (v) Debt ratio
- (vi) Debt Equity ratio
- (vii) Non -current assets Turnover
- (viii) Stock Turnover

- b) Using the ratios computed in (a) above, comment on the performance of the business over the three years with emphasis on FOUR key areas that the ratios relate to **(4 Marks)**

Question 3 (25 Marks)

- a) Using suitable examples, explain **THREE** ways to classify costs by behavior **(6 Marks)**
- b) Speck Limited manufactures executive office chairs for supply to retail customers. The details of making one chair are as follows:

Direct Materials:	Metal Component (5kgs @ \$50 per Kilogram)
	Plastic Component (200 grams @ \$1 per gram)
	Leather Component (2.5 meters at \$20 per meter)
	Foam (0.5 kg/m ³ at \$100 per kg/m ³)
Direct Labor:	Cutting and designing (40 minutes @ \$ 60 per hr)
	Assembly (20 mins \$10 per hr)

Variable production overheads absorbed at \$ 40 per kilogram of Metal

Other fixed costs total \$2,000,000.

Required:

- (i) Compute the cost of making one office chair **(8 Marks)**
- (ii) Compute the selling price of one chair if Speck Limited makes a profit of 25% Markup **(2 Marks)**
- (iii) Compute the breakeven point in dollars for Speck Limited **(4 Marks)**
- (iv) Briefly explain the FIVE assumptions of Breakeven analysis **(5 Marks)**

Question 4 (25 Marks)

- a) One way of improving organization processes is using the lean approach as recommended by Kaizen concept. The key principle of lean operation means moving towards the elimination all waste to develop an operation that is faster, more dependable, produces higher-quality products and services and, above all, operates at low cost.

Required:

Define the **THREE** key issues that define the lean philosophy **(6 Marks)**

- b) Mr. Suzuki Mboma is the CEO of Chuma company, that imports and assembles machine parts for selling the final product in the local market. The company has three subsidiaries in Kenya, Uganda and Tanzania. The following data applies to the three subsidiaries.

	Kenya	Uganda	Tanzania
	(Ksh.000)	(Ush.000)	(Tsh.000)
Invested Assets	75,000.00	2,700,000.00	1,500,000.00
Net Operating Profit After Tax	20,000.00	540,000.00	340,000.00

The cost of capital for Chuma company is 12%. The exchange rates are Ksh.1= Ush.36 for Uganda and Tsh.20 for Tanzania.

Required:

Rank the subsidiaries based on their residual income

(9 Marks)

- c) National Ltd sells its products to a wide range of retailers on a whole sale basis. Marketing is done through three geographical areas; Nakuru, Nairobi and Kisumu. The estimates of the costs and revenues for each sales territory for the next accounting period are as follows:

	Nakuru		Nairobi		Kisumu	
	Sh.000	Sh.000	Sh.000	Sh.000	Sh.000	Sh.000
Sales		900,000		1,000,000		900,000
Cost of goods sold		(400,000)		(450,000)		(500,000)
Gross profit		500,000		550,000		400,000
Fixed Selling costs						
Salesmen salaries	80,000		100,000		120,000	
Sales Admin Expense	40,000		60,000		80,000	
Advertising expense	50,000		50,000		50,000	
Salesmen expenses	<u>50,000</u>	<u>(220,000)</u>	<u>60,000</u>	<u>(270,000)</u>	<u>80,000</u>	<u>(330,000)</u>
		280,000		280,000		70,000
Head office admin	80,000		90,000		90,000	
Warehouse expense	<u>32,000</u>	<u>(112,000)</u>	<u>36,000</u>	<u>(126,000)</u>	<u>36,000</u>	<u>(126,000)</u>
Net Profit		<u>168,000</u>		<u>154,000</u>		<u>(56,000)</u>

The products are packaged and dispatched from a central warehouse, and it is estimated that 50% of the costs are variable and the remainder are fixed. All of the selling costs are fixed, with the exception of salesmen's expenses, which are variable with sales revenue. All of the administration expenses of the headquarters are common and unavoidable to all alternatives and have been apportioned to sales territories on the basis of sales value.

Required:

- (i) Advise management on whether to close Kisumu region

(6 Marks)

- (ii) Explain any **TWO** qualitative factors that should be considered in making the decision to close the Kisumu region

(4 Marks)